

Five Steps to Financial Wellbeing

wellbeing goals and our financial goals align and complement one another.

The five habits that we explored in Step Three will, if established and adhered to, provide us with a really solid basis for financial wellbeing. They will enable us to feel calm and in control of our finances, in the present, and shift our mindset towards a more positive engagement with our money. They should also enable us to avoid the hedonic treadmill and feel more content, less vulnerable to comparing ourselves in a negative light and more open to feelings of gratitude. But we still need something to keep us looking forward, and to help us to plan for our financial future. The habit that we need to look at here is setting and reviewing goals that will keep us motivated and encourage progress, without daunting or overwhelming us, and making us feel like we want to give up.

There is a fine art to setting effective goals in any area of your life, but things can get even more complex when setting financial goals. If you pin all of your happiness on a particular figure or milestone, it can be incredibly frustrating when you feel as if you're not getting there fast enough. This can lead to taking on too much and then burning out, cutting corners and losing sight of why you actually want to achieve that goal in the first place. For example, if you'd like to earn/save/invest a certain amount in order to be able to afford to work part-time and spend more time with your loved ones, but the pursuit of that goal is taking you away from them in the intervening months and years, this is counterproductive. Or if